

Canada Bread Company, Limited

Interim Management's Discussion and Analysis

For the Second Quarter Ended

June 30, 2013

Management's Discussion and Analysis

For the second quarter ended June 30, 2013

July 30, 2013

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales for the second quarter decreased 1.8% to $397.6 million compared to $404.9 million last year, or 0.7% after adjusting for discontinued bread categories in the U.K. and currency translation on sales in the U.S. and U.K. Lower sales volumes in the fresh bread business were partially offset by volume growth in the U.K. as well as higher pricing implemented during the first quarter in the fresh and North American frozen bakery businesses.

Sales for the first six months decreased 1.1% to $766.3 million compared to $775.1 million last year, but were consistent with last year after adjusting for discontinued bread categories in the U.K. and currency translation due to similar factors noted above.

Adjusted Operating Earnings[(i)(ii)] for the second quarter of $36.5 million was consistent with last year as a decline in volumes, primarily in the fresh bread business, was offset by operational efficiencies and lower SG&A expenses. For the first six months, Adjusted Operating Earnings increased 20.7% to $53.6 million compared to $44.4 million last year. Operational improvements and lower SG&A expenses more than offset lower volumes, mainly in the fresh bread business. Price increases earlier in the year also contributed to earnings growth, but this was largely offset by higher raw material and other inflationary costs.

Net earnings[(i)] in the quarter was $24.5 million ($0.97 basic earnings per share) compared to $26.1 million ($1.03 basic earnings per share) last year and included $1.0 million of pre-tax restructuring and other related costs (2012: $1.2 million). Year-to-date net earnings was $26.8 million ($1.05 basic earnings per share) compared to $26.3 million ($1.03 basic earnings per share) last year and included $11.5 million of pre-tax restructuring and other related costs (2012: $7.1 million).

Adjusted Earnings per Share[(i)(iii)] was $1.07 for the second quarter (2012: $1.06) and $1.51 for the first six months of 2013 (2012: $1.25).

Several items are excluded from the discussions of underlying earnings performance as they are not representative of on-going operational activities. Refer to the section entitled Non-IFRS Financial Measures at the end of this Management's Discussion and Analysis on page 10 for a description and reconciliation of all non-IFRS financial measures.

Notes:

(i) 2012 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements.

(ii) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 10.

(iii) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for all items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 10.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ thousands) *(Unaudited)*	Second Quarter		Year-to-Date	
	2013	2012	**2013**	2012
Fresh Bakery	**$ 271,169**	$ 279,164	**$ 513,834**	$ 527,347
Frozen Bakery	**126,461**	125,697	**252,501**	247,758
Total Sales	**$ 397,630**	$ 404,861	**$ 766,335**	$ 775,105

The following table summarizes Adjusted Operating Earnings by business segment:

($ thousands) *(Unaudited)*	Second Quarter		Year-to-Date	
	2013	2012[1]	**2013**	2012[1]
Fresh Bakery	**$ 28,568**	$ 29,828	**$ 41,828**	$ 36,417
Frozen Bakery	**7,891**	6,696	**11,732**	7,963
Adjusted Operating Earnings	**$ 36,459**	$ 36,524	**$ 53,560**	$ 44,380

[1] *2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements.*

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the second quarter decreased 2.9% to $271.2 million compared to $279.2 million last year, as lower volumes were only partly offset by the benefit of an earlier price increase in the fresh bread business. During the first six months of 2013, sales decreased 2.6% to $513.8 million compared to $527.3 million last year due to similar factors.

Earnings declined $1.3 million or 4.2% in the second quarter as higher corporate costs allocated to the segment more than offset higher earnings at the fresh bread and fresh pasta businesses.

Earnings in the fresh bread business increased as a result of reduced costs and improved operating efficiencies. Also contributing to earnings were lower SG&A expenses. These benefits were partly offset by a decline in volume. During the quarter, the Company closed a third bakery in the Toronto area, eliminating any future duplicative overhead costs associated with consolidating production at its bakery in Hamilton, Ontario. Results in the fresh pasta business increased mainly due to lower SG&A costs.

For the first six months, Adjusted Operating Earnings increased 14.9% to $41.8 million compared to $36.4 million last year. Operational improvements and lower SG&A expenses more than offset lower volumes, mainly attributable to the fresh bread business.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the second quarter were $126.5 million compared to $125.7 million in 2012. After adjusting for discontinued bread categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 4.1%. Stronger volumes in the U.K. and the benefit of earlier price increases in the North American business were partly offset by a decline in North American frozen bakery volumes. Year-to-date Frozen Bakery sales increased 1.9% to $252.5 million compared to $247.8 million last year. After adjusting for discontinued bread categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 5.1% due to similar factors.

Second quarter Adjusted Operating Earnings increased 17.8% to $7.9 million from $6.7 million last year. Performance in the North American frozen bakery business was consistent as earlier price increases offset inflationary costs and lower volumes. Earnings in the U.K. bakery business improved primarily due to higher volumes in both bagels and croissants. This business continues to benefit from network consolidation, investment in scale facilities and focus on its core categories.

For the first six months of 2013, Adjusted Operating Earnings increased 47.3% to $11.7 million compared to $8.0 million last year, due to similar factors noted above.

GROSS MARGIN

Gross margin decreased to $81.0 million (20.4% of sales) in the second quarter of 2013 compared to $85.4 million (21.1% of sales) last year as lower volumes, primarily attributable to the fresh bread business, were only partly offset by operational improvements.

Year-to-date gross margins increased to $148.9 million (19.4% of sales) compared to $147.2 million or 19.0% of sales last year, as operational improvements and price increases more than offset lower volumes and higher input costs.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in the quarter decreased 9.0% to $44.5 million from $48.9 million last year, representing 11.2% and 12.1% of sales, respectively. The decrease was driven by lower compensation expense across the Company as well as reduced advertising and promotional spending, primarily in the fresh bread business.

Year-to-date selling, general and administrative expenses decreased 7.3% to $95.3 million compared to $102.8 million last year, representing 12.4% and 13.3% of sales, respectively. The decrease is largely due to the same factors noted above.

OTHER INCOME

Other expense for the second quarter was $1.9 million compared to income of $1.3 million last year. Other expense in 2013 primarily consisted of a $0.7 million loss on the sale of a bakery facility in the U.K. and a $0.6 million decrease in the fair value of an investment property.

Year-to-date other expense was $4.4 million compared to income of $1.4 million last year. Other expense in 2013 primarily consisted of $4.3 million in impairment charges and loss on sale of a bakery facility in the U.K., as well as a $0.6 million decrease in the fair value of an investment property. This was partly offset by a $1.4 million gain on the sale of property plant and equipment.

RESTRUCTURING AND OTHER RELATED COSTS

The table below details restructuring and other related costs incurred in the three and six months ended June 30 for 2013 and 2012:

	Three months ended June 30,		Six months ended June 30,	
	2013	2012	**2013**	2012
FRESH BAKERY				
Management structure changes				
Severance	**$ (136)**	$ (419)	**$ 7,318**	$ (292)
Bakery closures				
Severance	**$ 35**	$ –	**$ 2,171**	$ –
Site closing and other costs	**(263)**	1,104	**360**	1,901
Asset impairment and accelerated depreciation	**265**	292	**900**	1,485
Retention	**360**	35	**573**	70
Pension	**52**	193	**(598)**	193
	$ 449	$ 1,624	**$ 3,406**	$ 3,649
FROZEN BAKERY				
Management structure changes				
Severance	**$ 730**	$ –	**$ 730**	$ –
Bakery closures				
Site closing and other costs	**$ –**	$ –	**$ –**	$ 297
Asset impairment and accelerated depreciation	**–**	–	**–**	3,435
	$ –	$ –	**$ –**	$ 3,732
Total restructuring and other related costs	**$ 1,043**	$ 1,205	**$ 11,454**	$ 7,089

Negative amounts reflect adjustments to provisions.

A brief description of the projects is as follows:

Management structure changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure.

Bakery closures

During the six months ended June 30, 2013, the Company recorded charges in connection with the closure of bakeries in Grand Falls, New Brunswick; Edmonton, Alberta; and Toronto, Ontario.

During the six months ended June 30, 2012, the Company recorded charges in connection with the closure of two bakeries in Toronto, Ontario and a bakery in Walsall, U.K.

Impairment

During the three months ended June 30, 2013, the Company recorded $nil (2012: $nil) of impairment of fixed assets through restructuring and other related costs.

During the six months ended June 30, 2013, the Company recorded $nil (2012: $0.1 million) of impairment on fixed assets through restructuring and other related costs.

INTEREST EXPENSE

Interest expense for the second quarter was $0.3 million compared to $0.4 million last year. Year-to-date interest expense was $0.7 million compared to $0.8 million last year.

INCOME TAXES

The Company's income tax expense in the second quarter of 2013 results in an effective tax rate of 26.2% (2012: 28.1%). The lower effective tax rate in 2013 is the result of the proportion of earnings and losses in different jurisdictions. In the second quarter of 2013, the effective tax rate used in the computation of Adjusted Earnings per Share is 20.8% (2012: 26.2%). The lower rate in 2013 is a result of certain items in other income not being subject to income taxes.

The Company's income taxes recoverable for the six months ended June 30, 2013 results in an effective tax rate of 27.6% (2012: 30.6%). The lower effective tax rate in 2013 is the result of the proportion of earnings and losses in different tax jurisdictions. For the first six months of 2013, the effective tax rate used in the computation of Adjusted Earnings per Share is 26.5% (2012: 22.9%). The higher rate in 2013 is a result of the proportion of the restructuring expenditures in different jurisdictions.

TRANSACTIONS WITH RELATED PARTY

The company is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"). Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the pre-existing agreement.

Fees paid to Maple Leaf in the three months ended June 30, 2013 for these services were $13.3 million (2012: $12.4 million). For the six months ended June 30, 2013, fees paid to Maple Leaf for these services were $26.5 million (2012: $24.8 million). At June 30, 2013, the total outstanding balance payable to Maple Leaf was $5.3 million (June 30, 2012: $4.0 million; December 31, 2012: $4.8 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. At June 30, 2013, the Company had drawn $1.6 million (2012: $1.6 million) against this facility.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.5 million (2012: $2.9 million) in the three months ended June 30, 2013. For the six months ended June 30, 2013, the Company's contributions to these plans were $4.9 million (2012: $5.9 million).

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, particularly wheat costs, seasonal and other market-related price changes. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and capital investment for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

As at June 30, 2013, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $95.4 million (2012: $86.8 million), and available cash of $145.6 million (2012: $83.6 million). There were $14.5 million in letters of credit outstanding as at June 30, 2013 (2012: $10.8 million). The Company's principal credit facility is subject to certain financial covenants. As at June 30, 2013 the Company was in compliance with all of its covenants.

To access competitively priced financing and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA. The receivables are sold at a discount to face value based on prevailing money market rates. At June 30, 2013, the Company had $84.0 million (2012: $91.7 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $55.6 million (2012: $51.9 million) and a note receivable in the amount of $28.4 million (2012: $39.8 million). The maximum cash proceeds available to the Company under this program is $60.0 million. The facility expires in October 2013 and Management expects to renew the facility prior to its expiration date.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the second quarter of 2013. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in the second quarter of 2013 were $11.1 million, consistent with $11.4 million in the second quarter of 2012, as lower capital expenditures in the fresh bread business were offset by higher spending on bagel capacity expansion in the U.K., which will continue throughout 2013.

Year-to-date capital expenditures were $17.6 million compared to $22.0 million last year as a result of lower spending on the Hamilton, Ontario fresh bakery.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $141.0 million at the end of the quarter, compared to $87.1 million as at December 31, 2012 and $78.7 million at the end of the second quarter of 2012. The increase in cash for the quarter is mainly due to cash generated from operations, resulting primarily from improved working capital management, partially offset by dividend payments and additions to capital assets.

Cash Flow from Operating Activities

Cash provided by continuing operations in the second quarter of 2013 was $76.5 million compared to $61.9 million in the prior year period. The increase is mainly attributable to lower investment in working capital.

Cash Flow from Financing Activities

Cash used in financing activities was $12.8 million in the second quarter of 2013 compared to $5.8 million in the prior year period, due to an increase in the rate of the quarterly dividend payment.

Cash Flow from Investing Activities

Cash used in investing activities was $10.6 million in the second quarter of 2013 compared to $11.3 million in the prior year period, both of which were related to additions to capital assets.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the retail, foodservice and convenience channels. The Company performs ongoing credit evaluations of new and existing customers' financial conditions and reviews the collectability of its trade accounts receivable and other receivables in order to mitigate any possible credit losses. As at June 30, 2013, approximately $0.9 million (2012: $0.2 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at June 30, 2013, the Company has recorded an allowance for doubtful accounts of $nil (2012: $1.9 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

OTHER MATTERS

On July 30, 2013, the Company declared a dividend of $0.50 per share payable on October 1, 2013 to shareholders of record at the close of business on September 6, 2013. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year[iii]
Sales[i]	**2013**	**$ 368,705**	**$ 397,630**	**$ –**	**$ –**	**$ –**
	2012	370,244	404,861	401,494	390,701	1,567,300
	2011	371,760	406,245	417,171	400,280	1,595,456
Net earnings (loss)[i][ii]	**2013**	**$ 2,281**	**$ 24,529**	**$ –**	**$ –**	**$ –**
	2012	159	26,095	23,535	21,691	71,480
	2011	(966)	14,904	30,256	7,757	51,951
Earnings (loss) per Share[i][ii]						
Basic and diluted	**2013**	**$ 0.09**	**$ 0.97**	**$ –**	**$ –**	**$ –**
	2012	0.01	1.03	0.93	0.85	2.81
	2011	(0.04)	0.59	1.19	0.31	2.04
Adjusted EPS[iv]	**2013**	**$ 0.45**	**$ 1.07**	**$ –**	**$ –**	**$ –**
	2012	0.19	1.06	0.93	0.97	3.15
	2011	0.56	0.97	1.24	0.67	3.43

(i) Figures are in accordance with IFRS and the net earnings, earnings per share and Adjusted Earnings per Share are based on amounts attributable to common shareholders.

(ii) 2012 Net earnings (loss) and earnings per share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements. 2011 figures have not been restated.

(iii) May not add due to rounding

(iv) Refer to Non-IFRS Financial Measures starting on page 10.

Quarterly sales in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower sales volume in the fresh bread business

- higher volumes in the U.K. bakery business
- exiting fresh and in-store bakery bread production in the U.K. in March 2012
- exiting speciality bread production in the U.K. in the second quarter of 2013

Quarterly net earnings in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower volumes in the fresh bread business
- improved operating efficiencies at the fresh bread business and the contribution of the new Hamilton fresh bakery
- lower advertising and promotional expenses at the fresh bread business compared to last year
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit of certain bread categories in the U.K.
- inventory write-down in the fresh pasta business during the first quarter of 2012 that was not repeated
- lower selling, administrative and general management costs
- an impairment charge and loss on sale recorded on a U.K. bakery that was sold in the second quarter of 2013
- restructuring and other related costs

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- exiting fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses
- supply chain issues experienced in the fresh pasta business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower raw material costs as a result of positive hedging activities
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

For an explanation and analysis of quarterly results, refer to the Company's Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

The Company applied, for the first time beginning on January 1, 2013, certain standards and amendments, some of which required restatement of previous financial statements. This included IFRS 10 *Consolidated Financial Statements*, IFRS 11 *Joint Arrangements*, IAS 19 (2011) *Employee Benefits*, IFRS 13 *Fair Value Measurement* and amendments to IAS 1 *Presentation of Financial Statements*. As required by IAS 34 *Interim Financial Reporting* and IAS 8 *Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below. In addition, the application of IFRS 12 *Disclosure in Other Entities* will result in additional disclosures that the Company will disclose for the first time in the annual consolidated financial statements for the year ending December 31, 2013.

Several other new standards and amendments apply for the first time in 2013. However, they do not impact the annual consolidated financial statements of the Company or the interim consolidated financial statements of the Company.

The nature and the impact of each new standard are described below:

Financial Assets and Liabilities

Beginning on January 1, 2013, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

Beginning on January 1, 2013, the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPEs")*, in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27. The adoption of IFRS 10 had no impact on the Company.

Joint Arrangements

Beginning on January 1, 2013, the Company adopted the amendment to IFRS 11 *Joint Arrangements* on a retrospective basis. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company.

Disclosure of Interests in Other Entities

Beginning on January 1, 2013, the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. Any new disclosure required by the adoption of this standard will be presented for the first time in the annual financial statements for the year ending December 31, 2013.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. The Company adopted IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The disclosure requirements are not required for interim consolidated financial statements, unless significant events and transactions in the interim period require that they are provided. Accordingly, the Company will make any relevant disclosures in its annual statements for the year ending December 31, 2013.

Fair Value Measurement

Beginning on January 1, 2013, the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRS with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Note 13.

Presentation of Items of Other Comprehensive Income – Amendment to IAS 1

Beginning on January 1, 2013, the Company adopted the amendment to IAS 1 *Presentation of Financial Statements* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The amendment affected the presentation of the consolidated statement of other comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

Beginning on January 1, 2013, the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest, calculated based on the discount rate at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The impact of adoption is further discussed in Note 19. This standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact to the Company.

Recoverable Amount Disclosures for Non-Financial Assets

In May 2013, the IASB issued Recoverable Amount Disclosures for Non-Financial Assets (amendments to IAS 36), to reverse the unintended requirement in IFRS 13 *Fair Value Measurement* to disclose the recoverable amount of every cash generating unit to which significant goodwill or indefinite-life intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognized or reversed.

During the second quarter, the Company has early adopted, on a retrospective basis, these amendments, which did not have a material impact to the disclosures made by the Company.

Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning on January 1, 2014. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2013 and ended on June 30, 2013 that has materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in the earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the unaudited consolidated interim statements of earnings to Adjusted Operating Income for the three and six months ended, as indicated below: Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the on-going operations of the Company.

	Three months ended June 30, 2013		
($ thousands) (Unaudited)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 24,529**
Income taxes			**8,717**
Earnings before income taxes			**$ 33,246**
Interest expense			**291**
Earnings before interest and income taxes	**$ 27,269**	**$ 6,268**	**$ 33,537**
Other expense	**986**	**893**	**1,879**
Restructuring and other related costs	**313**	**730**	**1,043**
Adjusted Operating Earnings	**$ 28,568**	**$ 7,891**	**$ 36,459**

	Three months ended June 30, 2012[1]		
($ thousands) (Unaudited)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 26,095
Income taxes			10,182
Earnings before income taxes			$ 36,277
Interest expense			391
Earnings before interest and income taxes	$ 29,972	$ 6,696	$ 36,668
Other income	(1,349)	–	(1,349)
Restructuring and other related costs	1,205	–	1,205
Adjusted Operating Earnings	$ 29,828	$ 6,696	$ 36,524

[1] *2012 Net earnings and Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements.*

($ thousands) *(Unaudited)*	Six months ended June 30, 2013		
	Fresh Bakery	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 26,810**
Income taxes			**10,216**
Earnings before income taxes			**$ 37,026**
Interest expense			**688**
Earnings before interest and income taxes	**$ 31,416**	**$ 6,298**	**$ 37,714**
Other (income) expense	**(312)**	**4,704**	**4,392**
Restructuring and other related costs	**10,724**	**730**	**11,454**
Adjusted Operating Earnings	**$ 41,828**	**$ 11,732**	**$ 53,560**

($ thousands) *(Unaudited)*	Six months ended June 30, 2012[i]		
	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 26,254
Income taxes			11,580
Earnings before income taxes			$ 37,834
Interest expense			828
Earnings before interest and income taxes	$ 34,705	$ 3,957	$ 38,662
Other (income) expense	(1,580)	209	(1,371)
Restructuring and other related costs	3,292	3,797	7,089
Adjusted Operating Earnings	$ 36,417	$ 7,963	$ 44,380

[i] *2012 Net earnings and Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements.*

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the unaudited consolidated interim statements of earnings to Adjusted Earnings per Share for the three and six months ended, as indicated below: Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the on-going operations of the Company.

($ per share) *(Unaudited)*	Three months ended June 30,		Six months ended June 30,	
	2013	2012[i]	**2013**	2012[i]
Basic earnings per share	**$ 0.97**	$ 1.03	**$ 1.05**	$ 1.03
Items included in other income not considered representative of on-going operations[ii]	**$ 0.07**	$ –	**$ 0.12**	$ –
Restructuring and other related costs[iii]	**$ 0.03**	$ 0.04	**$ 0.33**	$ 0.21
Adjusted Earnings per Share[iv]	**$ 1.07**	$ 1.06	**$ 1.51**	$ 1.25

[i] *2012 Basic earnings per share and Adjusted Earnings per Share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 19 of the Company's unaudited condensed consolidated interim financial statements.*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.*

[iii] *Includes per share impact of restructuring and other related costs, net of tax.*

[iv] *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis on page 5 to IFRS amounts in the unaudited condensed consolidated interim balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands) (Unaudited)	**As at June 30, 2013**	As at June 30, 2012	As at March 31, 2013	As at December 31, 2012
Bank indebtedness	**$ –**	$ 1,595	$ 3,088	$ –
Current portion of long-term debt	**547**	264	531	358
Long-term debt	**4,106**	3,093	4,138	2,921
Sub-total	**$ 4,653**	$ 4,952	$ 7,757	$ 3,279
Cash and cash equivalents	**(145,608)**	(83,631)	(95,526)	(90,415)
Net cash	**$ (140,955)**	$ (78,679)	$ (87,769)	$ (87,136)

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's systems and processes
- the risks associated with the management service agreement with Maple Leaf
- the Company's exposure to currency exchange risks

- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks related to capital expansion projects
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and divestitures
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2012 that is available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.



Canada Bread Company, Limited

10 Four Seasons Place
Etobicoke, Ontario M9B 6H7
www.canadabread.ca